

municipal bonds may play an important role in your asset allocation. In a taxable account, the after-tax return on municipal bonds will be higher for people in upper income brackets.

Typically, the interest income from a municipal bond issued in the state in which you live is free from all federal, state, and city income taxes (there are exceptions). For that reason, municipal bonds have lower interest payments than taxable government bonds or corporate bonds. However, after tax, the net return is higher.

To compare the yield on taxable bonds to that of tax-free bonds, simply multiply the taxable yield by your tax rate and subtract the result from that yield. If you buy an intermediate-term taxable bond that pays 4 percent interest and your tax on that income is 30 percent, the after-tax return will be 2.8 percent. If the yield on a comparable maturity municipal bond were higher than 2.8 percent, then it would be to your advantage to invest in the tax-free bond. As a rough rule of thumb, if your combined state and federal income tax rate is 30 percent or more, municipal bonds may be an appropriate choice for taxable accounts.

Investors in a high-income tax brackets should consider tax-free municipal bonds in place of investment-grade taxable bonds for their taxable accounts. You could buy individual bonds or a bond fund. A low-cost diversified tax-free bond fund is a good way to diversify the risk of any individual bond going into default. The more bonds a fund holds, the better. The disadvantage of a fund is that it may not be state-tax-exempt in the state you live in. Examples of very low-cost municipal bond mutual funds are listed at the end of the chapter.

PUTTING IT ALL TOGETHER

After completing your analysis of the fixed-income market, the next step is to select an asset allocation for your portfolio. [Table 8-4](#) provides an example of a fixed-income asset allocation that my firm uses in portfolios that have taxable bonds.

[Figure 8-11](#) illustrates the cumulative return of the portfolio in [Table 8-4](#). Adding TIPS and high yield to a portfolio has increased the fixed income with only a marginal increase in risk.

It is impossible to know whether a multi-asset-class fixed-income portfolio will outperform Treasuries and investment-grade portfolios in the